TRENDS

BUY NOW, PAY LATER

Easy credit can be convenient, but it can also cause harm, if done without understanding the flip side and associated costs when availing it



Digital transformation and adoption witnessed tremendous growth in the past two years and has changed consumer behaviour tremendously. "Sitting at home, I had access to anything that was digitally available. I started experimenting with a few things, but since August 2020, all my purchases have been online," says 25-year-old Ahmedabad-based Divya Shah. She is among the many people who have quickly adopted digital, not just for work and entertainment, but also for day-to-day household needs.

Other than convenience, she uses the digital gateway to her advantage with the 'buy-now-pay-later' (BNPL) interest-free option that is available for several online spends. BNPL allows consumers to buy a product or service without worrying about making an immediate payment. The repayment can be either in full or in the form of the very popular EMI (equated monthly instalment) mode.

In Bengaluru, 41-year-old Venkatesh Chari, a software engineer with a leading IT company is all praise for BNPL. "Over the years, my life has been running on EMIs and this is one more way of managing cash flows that were hit by Covid," he says. Chari faced some tough months in 2021, when his already-reduced salary started coming in late, impacting his cash flow. "My existing loans left little room to spend and I tried BNPL for regular household goods that bought me time," he explains. Chari has been tightly juggling his finances with a home loan, personal loan and car loan that account for a major chunk of his salary each month.

EASE OF CREDIT

Is BNPL different from personal loan or credit card spends? The basic difference is the easy access to credit that the former provides. One has to qualify to own a credit card with a good credit history. Moreover, credit cards have a fixed full repayment cycle on which they operate. BNPL comes with almost instant approval, but with a shorter credit period—which could run to 2-3 months. "The extended repayment timeline makes it worthwhile to prefer BNPL," stresses Shah. She also confides that she has defaulted a few times on her repayment schedule. The BNPL ticket size at the upper end is mostly in the ₹ 25,000-₹ 30,000 range.

Sensing the opportunity that exists in providing easy credit to scores of people who may not have access to credit cards or may have maxed out their cards, several players have mushroomed to provide easy credit through BNPL. It is not just at large retailers or online sellers. Even small kirana stores in big cities and Tier-2 cities have partnered with BNPL providers so that consumers can avail easy credit. The success of this model in increasing sales for retailers of both small and big ticket items has also made Amazon and Flipkart offer their version of BNPL through Amazon Pay Later and Flipkart Pay Later.

HOW BNPL WORKS

BNPL provides a low-cost and simple financial alternative to those in a cash crunch. "I am hooked to BNPL for my household essentials because of the delayed credit of my salary," explains Chari. Unlike pay-day loans, which were the lending flavour a few years prior to the